

Market Efficiency

- efficient market hypothesis (EMH) - one in which prices immediately reflect all available info
 - past info cannot be used to predict alphas (aka future returns after controlling for risk)
 - Orange Juice futures very quickly reflect the weather of Florida
- EMH issues to care about:
 - what info is available to me / the public?
 - how quickly do prices reflect info?
 - how efficient actually are markets?
- weak form EMH - market data
 - past prices, trading volume, etc.
- semi-strong form EMH - all public ~~public~~ info
 - earnings announcements, moody's ratings, etc.
- strong form EMH - all public & private info
- insider trading on material non-public info is illegal in the US
- ways a market can react to good news (like merger announcement):
 - flat line (efficient) - stock jumps up to new, correct price & stays there
 - underreaction - stock doesn't go up enough, then trends upward ↗
 - overreaction - price goes too high, then trends downwards ↘